virtue of their utility to the business. Goodwill, Patent Rights, Copyrights, Trademarks are some of the examples of intangible assets. The cost of intangible fixed assets are amortized over their useful life.

Intangible asset is defined by International Accounting Standards Board as, "an identifiable non-monetary asset without physical substance".



5.3.2 Classifications of Intangible Asset

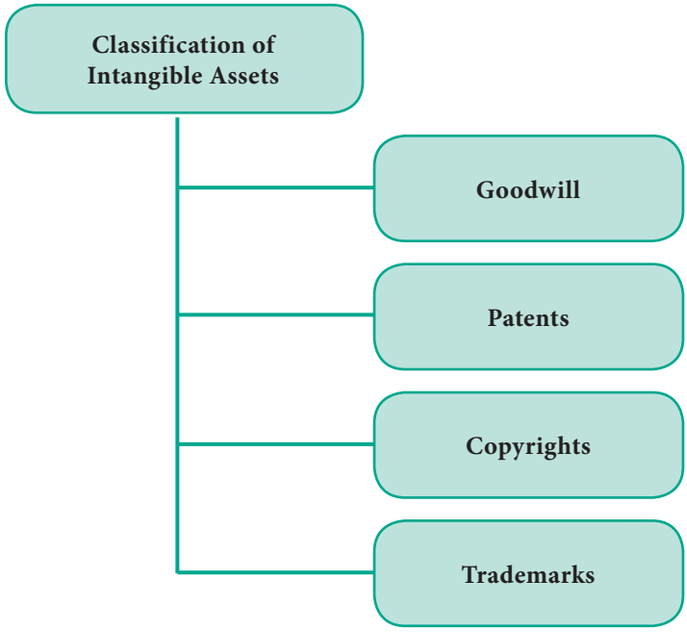
Intangible assets do not have physical existence but it has legally existed with documentary evidence. It is broadly classified into two categories such as limited life intangibles and unlimited life intangibles. Limited life intangible assets include Goodwill, Patents and Copyrights. On the other hand, Trademarks is classified as unlimited life intangibles.

5.3.3 Verification and Valuation of Individual Intangible Assets

The Procedure of Verification and Valuation of individual Intangible Assets are explained in the following paragraphs.

1. Goodwill

Goodwill is an intangible concealed asset, which represents the earning capacity of the business. As a rule, this does not appear in the Balance Sheet except when it is actually purchased, or in case of a partnership when it is brought into the books of accounts in case of change in the partnership deed. It arises because of several reasons such as special popularity of a particular place, attractiveness of



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